environmentally positive. I was both touched and impressed. The Reserve Bank, of course, had already taken care of that by commissioning a study by TERI (The Energy and Resources Institute) on the carbon footprint of plastic currency. The TERI report found that plastic currency would be about five times more environment friendly than cotton fibre-based currency mainly because of the longevity of the notes and low-resource consumption. During my term, we initiated a bid process for outsourcing the production of plastic currency of ₹10 denomination. The understanding was that if the pilot process succeeded, the initiative would be mainstreamed.

India towards a Cashless Society?

India, as I have said earlier, is a large cash economy, which is to say that a preponderant proportion of all financial transactions are conducted in cash as opposed to electronic payments. Both the government and the Reserve Bank are keen on moving India towards a less cash economy by encouraging people to shift from cash to electronic payments for all transactions. This will not only reduce the cost of printing and handling cash but also make transactions faster and safer. Electronic payment systems also enable an audit trail of money, which would help in the detection of money laundering and terrorist funding.

This shift from cash to electronic payments is a continuous process and is happening all the time, but its scaling up will depend on some important factors. The first is public acceptance, which is, in part, a question of removing the fear of the unknown, and also a question of making it convenient for people to use electronic payment systems. The second is a significant expansion of the payment infrastructure, and in the nature of supply creating its own demand, this expansion of the infrastructure may itself encourage more people to shift from cash to electronic payments. In the ultimate analysis though, facilitating the shift to a less cash economy is a question of meaningful financial inclusion.